

↓ CONTRIBUTING TO AN IRA

The other major type of retirement savings plan—great for freelancers with no 401(k)—is the individual retirement account, or IRA. Unlike 401(k)s, IRAs are not offered by employers. They’re private accounts set up through brokers, banks, and mutual fund companies. (My first choice for an IRA is a low-cost mutual fund company, but more on that later.)

The maximum you can contribute to an IRA as of 2009 is \$5,000 a year, plus an additional \$5,000 to your spouse’s IRA if he or she doesn’t earn any income. If both you and your spouse work, you can each contribute up to \$5,000 to your own accounts. These limits apply to your total IRA contribution—whether to a traditional IRA, a Roth IRA, or any combination of IRAs. Even people who do have a 401(k) can open an IRA. I’ll explain the details below.

First we’ll start with the pros and cons of the different IRA types.

Traditional IRAs

These work much like 401(k)s. You get to subtract, or “deduct,” your contribution from your income—that’s the upfront tax break. So if you earn \$35,000 and contribute \$1,000 to an IRA, you pay tax as though you had earned only \$34,000.

Next, the money in your IRA grows without being taxed for many years—that’s the long-term break. Come retirement time, you’ll pay tax on all the money in your account as you withdraw it. This is called “tax-deferred” growth because you defer (or postpone) paying tax on that money for many years, which helps your money grow more quickly.

Traditional IRAs like this that offer upfront tax breaks are known as **deductible IRAs**. Unfortunately, deductible IRAs are not available to everyone. Whether or not you’re eligible depends on your “adjusted gross income” and whether you participate in an employer-sponsored retirement plan. (For details on calculating your adjusted gross income, see Chapter 9.)

Here are the rules. If your employer does *not* offer a retirement plan such as a 401(k) or a 403(b), you’re almost always allowed to deduct your full \$5,000 contribution to a traditional IRA. (You don’t *have* to contribute \$5,000, but you’re permitted to.) There is one tricky exception: if you’re not